What is consolidation?

BUSINESS / INDUSTRY | Bringing companies or businesses together

Consolidation brings dispersed companies, businesses or functions together to expand scale or improve management efficiency.

Meaning for companies and industries

“Industry consolidation” refers to companies in the same industry coming together through M&A (mergers and acquisitions) or business integration, concentrating management resources.

What integration aims to achieve

Combine factories, people, technology and funds to reduce duplication and improve competitiveness. A reduction in the number of companies is one possible result.

Why consolidate?

WHY CONSOLIDATE | Alongside scale, the aim is to reduce duplication of resources

01 Reduce costs

Rationalize overlapping factories, logistics, sales and administrative functions to reduce fixed costs.

02 Strengthen R&D

Bring together dispersed people, technology and funding to facilitate large-scale research, development and capital investment.

03 Improve price-negotiating power

Larger procurement volumes and sales scale may increase bargaining power with business partners.

04 Scale to compete with major overseas firms

Concentrate capital and business foundations to prepare for overseas expansion and international competition.

Integration and corporate value

CORPORATE VALUE | Results appear in post-integration earnings and capital efficiency

Corporate value may change

If industry restructuring eases excessive competition and improves margins or capital efficiency, market valuation may change.

An announcement is distinct from results

The focus is whether actual improvements appear in post-integration revenue, margins, return on invested capital (ROIC), free cash flow and similar measures.

Factors that obstruct benefits

Integration costs, differences in corporate cultures, overpriced acquisitions and antitrust issues can prevent expected benefits. Greater scale alone does not necessarily improve earnings power.

Another meaning in stock markets

STOCK MARKET | Consolidation can refer to sideways trading or price stabilization

Share-price consolidation

Buying and selling balance within a price range, and prices move sideways. This may occur after an advance or decline.

The next direction is not determined

After sideways trading, prices can break above or below the range. The term “price stabilization” does not guarantee a rise.

Meaning depends on context

Companies and industries: integration, concentration and industry restructuring.

Stock-price charts: sideways trading and price stabilization.